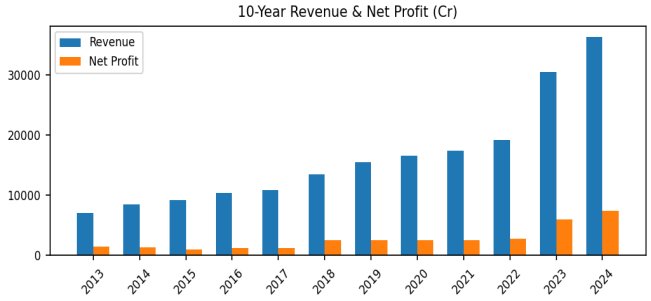
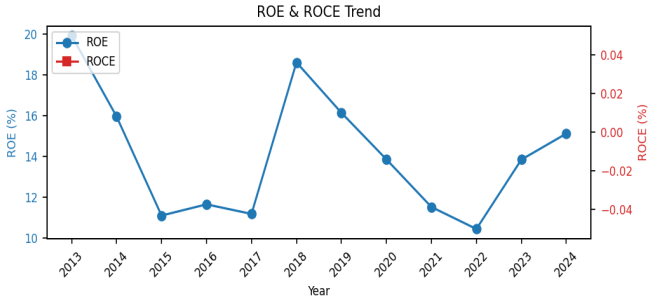
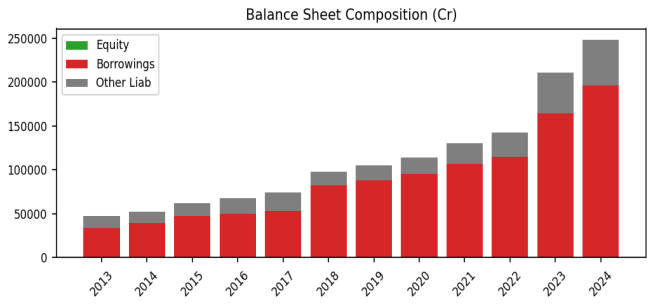
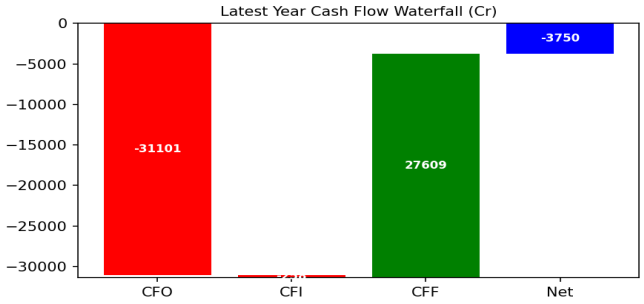
Shriram Finance Ltd (SHRIRAMFIN)

Revenue	Net Profit	Total Equity
■3.6T	■7399Cr	■376Cr
ROE	**ROCE**	**D/E**
15.1%	-	3.99x









Pros	Cons
• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (Conf: 85%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Net profit compounding at above 20% over 5 years creates significant shareholder value (Conf: 90%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Free cash flow negative for 3 consecutive years raises concern about cash generation quality (Conf: 95%) • Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (Conf: 85%) • Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%) • Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (Conf: 80%)

Capital Allocation Pattern: Growth Funded by Debt